TOPIC 3 · ECONOMIC ISSUES

Opinion column, ACM papers (Katherine Times)
Published 27 Oct 2026

Price gouging? ABS figures point to housing, transport and mining

> Consumer prices have risen almost **30%** since 2020, and company gross operating profits have risen by about the same amount. The column argues that ABS data don't support the claim of widespread gouging. Housing and transport drove prices, and **mining** accounts for most of the rise in profits.

WHAT HAPPENED

- ABS figures show **housing and transport** as the two largest drivers of higher prices.
- Most of the rise in company profits has come from **mining**, not retail or supermarkets.
- A 2003–2016 study by Jonathan Hambur, then a Treasury economist, found a cumulative **6% rise in markups** over 13 years, mostly among digital firms rather than supermarkets.
- The Federal Court has found that a few firms **misled consumers**, but regulators have not proven price gouging at a significant scale.
- *This is an opinion piece, so treat it as one side of the debate and compare it with ACCC findings.*

KEY NUMBERS

~30%
rise in consumer prices since 2020

~30%
rise in company gross operating profits

6%
cumulative rise in markups, 2003–2016

2
biggest price drivers: housing and transport

Markup: the gap between a firm's price and its cost of production.
Profit-push inflation: prices rising because firms widen their margins.

COMPARE — Three explanations for high prices, and what the evidence says

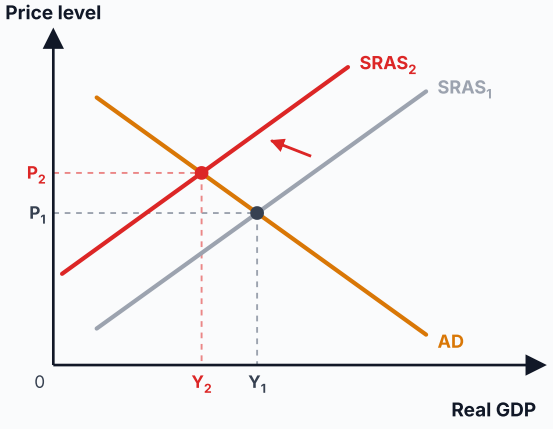
Demand-pull
Total spending grows faster than the economy's capacity to supply goods and services, so prices are bid up.

Cost-push
Input costs rise and are passed on. Housing and transport are the largest drivers of higher prices in the ABS data.

Profit-push (gouging)
Firms widen markups. The evidence cited finds only modest markup growth, mostly in digital firms, and most profit growth in mining.

Exam angle: mining profits mostly reflect **world commodity prices** (the terms of trade), which are set on global markets. Aggregate profit figures can therefore look like gouging even when domestic retail margins have barely moved.

DIAGRAM — Cost-push: what the ABS data point to



Higher housing and transport costs raise the cost of production across the economy, shifting short-run aggregate supply from **$SRAS_1$ to $SRAS_2$**.

The price level rises from **P_1 to P_2** and output falls from **Y_1 to Y_2**. Widespread gouging would look similar on this diagram, which is why the sector data matter: they show **where** the price rises came from.

SYLLABUS LINK

Topic 3 – **Causes of inflation** (demand-pull, cost-push, profit-push).
Topic 4 – competition policy and the role of the ACCC.

TRY THIS

Assess the extent to which rising business profits have contributed to inflation in Australia since 2020. **(6 marks)**

Katherine Times (ACM): https://www.katherinetimes.com.au/story/9380526/abs-data-counters-price-gouging-claims-across-australia/

Diagrams are illustrative, not to scale